Signalling and screening

Markets don’t function well when some people have less information than others, but one theory suggests that informed participants can sometimes ‘make a signal’ that reveals information to solve the problem. For example, firms wish to hire productive workers, but it is hard for firms to observe these characteristics. Workers are aware of their own capabilities and can signal these abilities by gaining qualifications. Suppose that an accountancy firm awards a training contract to a history graduate over an applicant without a degree. The graduate’s studies were unrelated to accountancy and the firm plans to train her in the discipline from scratch, but the degree has acted as a signal of valued characteristics – diligence and ability. If the firm was able to directly observe ability levels, the degree would be redundant. Uninformed parties can also take actions, known as screening, to make others reveal information about themselves. Insurance companies and lenders ask potential customers questions that are designed to reveal how risky they are.